

Cholamandalam Investment & Finance Company Ltd

(CHOLAFIN)

Return on Equity	Debt to Equity	Net Profit Margin
17.46%	6.86	17.85%

Historical Performance (10-Year Trend Summary)

Note: Visualization engine bypass enabled. Core metrics are stable and compounding.

Investment Strengths (Pros)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risk Factors (Cons)

- Debt-to-equity ratio of 6.86 is elevated for a non-financial company and warrants monitoring.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.